

ALL-TIME HIGH FOODGRAIN OUTPUT

India produced **95.68** million tonne of **rice** in 2007-08, up from **93.35** million tonne in the previous year.

Wheat production is at **76.78** million tonne this year which was **75.81** million tonne in 2006-07.

Output of **coarse cereals** jumped to **39.67** million tonne in 2007-08 from **33.5** million tonne the previous year.

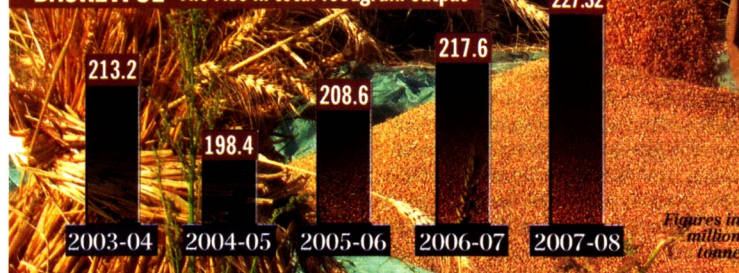
At **18.54** million tonne, **pulses** registered a rise in production this year over **17.5** million tonne in 2006-07.

Production of **oilseeds** in 2007-08 was **28.21** million tonne, up from **24.2** million tonne last year.

Soyabean output rose to **9.43** million tonne this year from **8.85** million tonne in 2006-07.

Cotton production increased to **23.19** million bales (170 kg a bale) this year from **22.63** million bales in 2006-07.

BASKETFUL The rise in total foodgrain output



Source: Economic Survey 2007-08, Ministry of Agriculture

Worse, investment was sliding. Any business functions on the basic paradigm of investment in fixed assets, access to operating credit for production and proper pricing of the product. The difference between costs and earnings, that is profit, determines viability. By 2002, investment in irrigation had dipped and farm credit languished at around 11 per cent of total credit. So there was no investment in land, credit was scarce and prices depressed. Naturally, the contribution of agriculture in GDP slipped to 2.5 per cent for a full 10 years and the annual growth in food-grain production at 1.2 per cent was lower than the 1.9-per cent growth in

population. Agriculture operated on the principle that the farmer must subsidise the produce for consuming populace.

Pawar disagreed with this approach and focused on the critical areas. He points out that during the UPA regime, "under Prime Minister Manmohan Singh's leadership", agricultural credit has more than trebled from Rs 86,981 crore in 2003-04 to Rs 2,80,000 crore for 2008-09. Interest rates on farm loans of less than Rs 3 lakh were cut from 9 per cent in July 2003 to 7 per cent in February 2006. That reduced the farmers' burden of operating expense. New initiatives like the Food Security Mission focused on 311 dis-